



Characteristics of Bureaucracy: Max Weber

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Characteristics of Bureaucracy: Max Weber



Modern officialdom functions in the following specific manner:

- I. Principle of fixed and official jurisdictional areas, which are generally ordered by rules, that is, by laws or administrative regulations.
 1. Regular activities distributed in a fixed way as official duties.
 2. Authority structure
 3. Authority to give command distributed in a fixed way
 4. This authority by structure is governed by rules
 5. There is a rule book
 6. Everybody has access to it in office
 7. Methodological provision is made for regular and continuous fulfilment of these duties
 8. Those who have a required qualification to serve are employed

Characteristics of Bureaucracy

- In public and lawful government these three elements constitute bureaucratic authority
- In private sphere, it's called bureaucratic management
- Bureaucracy - fully developed in political and ecclesiastical communities only in modern state and in most advanced institutions of capitalism

II. The principle of office hierarchy and levels of graded authority means - ordered system of super and subordination

- There is supervision of lower offices by higher ones
- System allows the government appeal to high authorities against lower office in a regulated manner
- State, church, hospital, prison, political party and private enterprise
- Office tends to continue in existence and only the incumbent changes

Characteristics of Bureaucracy

III. Management of modern office is based upon written documents (the files) (scribes, subaltern officials).

- Bureaucracy - in public - the staff, files and material implements
- **Public money and equipment separated from private ownership**

IV. Office management - the specialized one- presupposes thorough and expert training

- It is distinctly modern
- Holds for executives and employees

V. Full working capacity of the officials

- Primary duty to office – **impersonal nature of work**

VI. The management of office follows general rules which are more or less stable can be learned

- Knowledge of rules represent a special technical learning which officials possess
- It involves (jurisprudence, administrative or business management)



Global Inequality: Theories of Development

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Four theories advanced to explain development and poverty

Market-oriented theories

1960s By British and American Economists and Sociologists

Central argument

- ❑ Best possible economic consequences will result if individuals are free – uninhibited by any govt control to make their own economic decisions
- ❑ Unrestricted capitalism is the avenue to eco growth
- ❑ Govt should not dictate what goods to produce, what prices to charge, or how much workers should be paid
- ❑ Local govt should not decide direction of economy, should not come in the way of development

W.W. Rostow's Modernisation theory (1961) – one version of such market oriented approach

His ideas

- ❑ **Low income countries can modernize – if they leave behind traditional practices, adopt modern economic institutions, new technology and cultural values that emphasize savings and productive investments**
- ❑ **Traditional cultural values and social institutions – fatalism, lack of work ethics, no future orientation (savings and investments) and family planning**
- ❑ **Economic growth going through four stages – analogy of journey of an aeroplane**

**4 The age of high
Mass consumption**

**3 The drive to maturity:
economic and cultural factors
lead to increasing prosperity
for all**

**2 Take-off: the West assists
development through aid
and industrial investment**

**1 Traditional society: poverty,
primary production and
traditional values**



1. The Traditional Stage:

Low rates of savings, supposed lack of a work ethic, so called fatalistic value system, aeroplane not off the ground!

2. Take-Off to economic growth:

Poor countries overthrow the traditional practices, focus is on savings and investment, rich countries facilitators of growth (financing birth control programmes, provide low cost loans for electrification, road, airport construction, starting new industries)

3. Drive to technological maturity:

Help from rich countries (money and advice) – eco growth picks up, techno maturity, improving technology, reinvesting its acquired wealth, plane is air borne!

4. High Mass consumption:

People enjoy the fruits of their labour, high standards of living, joins the ranks of high-income countries, plane cruises along at a high speed!

Criticism of Modernisation Theory

- a) It devalues traditional values and social institutions e.g. extended families
- b) It ignores increasing inequality within and between countries
- c) It is not a neutral theory as it suggests (it promotes western capitalist values), infact, critics term it Americanisation and also Euro-centric
- d) There is no, one single way to advancement and historical context is also important
- e) Education in developing world mainly benefits small, local elites (those at the top)
- f) It assumes unlimited natural resources for industrial expansion. (ignores ecological issues)
- g) Marxists say it is not cultural but economic factors which matter most, and western ideas

Neo-Liberalism –

- current form of market oriented approach
- Free market forces, minimum govt regulation on trade and businesses, they also challenge minimum wage and other labour laws and even question the environmental restrictions on business

Dependency Theory

- Originated in 1950s: Latin American and African Sociologists and Economists from low income countries
- As a reaction to liberal free trade theories in the 1950s, advocated by Raúl Prebisch, whose research with the Economic Commission on Latin America (ECLA) found that the wealth of poor nations tended to decrease when the wealth of rich nations increased. Paul Baran developed dependency theory from Marxian analysis.
- Based on Marxist ideas, dependency theorists argue that underdevelopment of the Global South is a direct result of the development in the Global North

- Capitalism created a class of unequal countries, poorer countries are manipulated by powerful countries and their Multinationals
- The poverty of LIC stems from exploitation by HIC
- Began with colonialism and industrial revolution
- Colonialism – a political economic system – powerful countries – established rules, used them as vast market, procured raw materials, manufactured in their factories and controlled markets in LIC
- For instance, petroleum, copper, iron and food products extracted from LIC, processed in HICs

❑ Continues even after colonialism ended

- ❑ MNCs set up factories in LICs helped by globally powerful banks, Dictatorial/military rulers in LIC, govt of HICs, uses cheap labour and raw materials to minimize production costs without govt interference, local businesses prevented from competition
- ❑ The low wages for labour and cheap raw material prevent LICs make profit and hence lack eco resources to industrialise themselves
- ❑ Forces the LICs to borrow from global banks and HICs – increasing their economic dependency
- ❑ Its not underdevelopment rather misdevelopment (AG Frank)
- ❑ Unlike the market oriented approach, dependency theorists point out to the role of political/military power in enforcing unequal economic relations

- For example, role of CIA in jettisoning Marxist govt of Guatemala (1954), Chile in 1973, Nicaragua in 1980s
 - Fernando Enrique Cardoso, a Brazilian sociologist and prominent dependency theorist in 70s argued that some form of eco. development is possible by reliance on HICs, infact state govt can steer a course between dependency and development
 - But during his presidency of Brazil (1995-2003), advocated greater integration of brazil into global economy

World System Theory

- Looks at world as single economic system
- World eco system is not merely collection of independent countries linked through economic and diplomatic relations but must be understood as a unit
- Associated with Immanuel Wallerstein (1974, 1990)

- World system has four overlapping elements
1. A world market for goods and labour
 2. Division of classes into diff economic classes – particularly, capitalists and workers
 3. international system of formal and informal political relations among the most powerful countries whose competition with one another helps shape the world economy
 4. carving up of the world into three unequal economic zones with the wealthier zones exploiting the poorer ones

The Zones:

Core – most advanced countries (USA, Japan, Western Europe), make lion's share of world's profit

Periphery – LIC (Africa, Asia and some LA countries) – manipulated by core countries

- Natural resources such as Agricultural products, minerals, other raw materials flow from periphery to core so also profit and finished product from core to periphery
- Core takes advantage of unequal trade

Semiperiphery – occupies intermediate position (Brazil, Mexico, Argentina, Chile and newly industrialized countries of East Asia)

- Semi-industrialised, MICs, extract profit from peripheral countries and yield profit to Core, greater eco devp of MIC holds promise for LICs

- ❑ **World system changes slowly but changes!**
- ❑ **Once powerful countries eventually lose their eco power and others take over**
- ❑ **For example, 500 years ago, Venice and Genoa (Italy) followed by Dutch then British then USA**
- ❑ **Now towards a multi-polar world – eco power to be shared by USA, Europe and Asia**
- ❑ **State Centered Theories**
 - ❑ Recent successes of East Asian LICs emphasise the role of state policy
 - ❑ Differs from market oriented approach
 - ❑ Appropriate eco policy does not interfere with eco devp but brings it
- ❑ World Bank (once a strong proponent of free market approach) in 1997 report (State in a changing world) states that without effective state sustainable development, both economic and social impossible

- ❑ Strong govts contributed to eco devp in East Asian NICs (Newly industrializing countries) in 80s & 90s
- 1. East Asian govts have sometimes aggressively acted to ensure pol stability
 - ❑ kept labour cost low, outlawed TUs, banning strikes, in general, silencing workforce
 - ❑ Exm: Taiwan, South Korea, Singapore
- 2. EA countries steered eco growth in desired direction
 - ❑ State provided cheap loans, and tax breaks to state favoured industries
 - ❑ Sometimes resulted in bad loans (East Asian eco crisis of 90s)
 - ❑ Prevented businesses from investing in foreign, thereby facilitating investment at home
 - ❑ Sometimes govt has owned and controlled key industries
 - ❑ Exam: Japan – Railways, Steel, Bank; South Korea – Banks; Singapore - airlines, armaments, ship-repair industries

3. EA countries often involved in heavy social programmes such as low cost housing, universal education

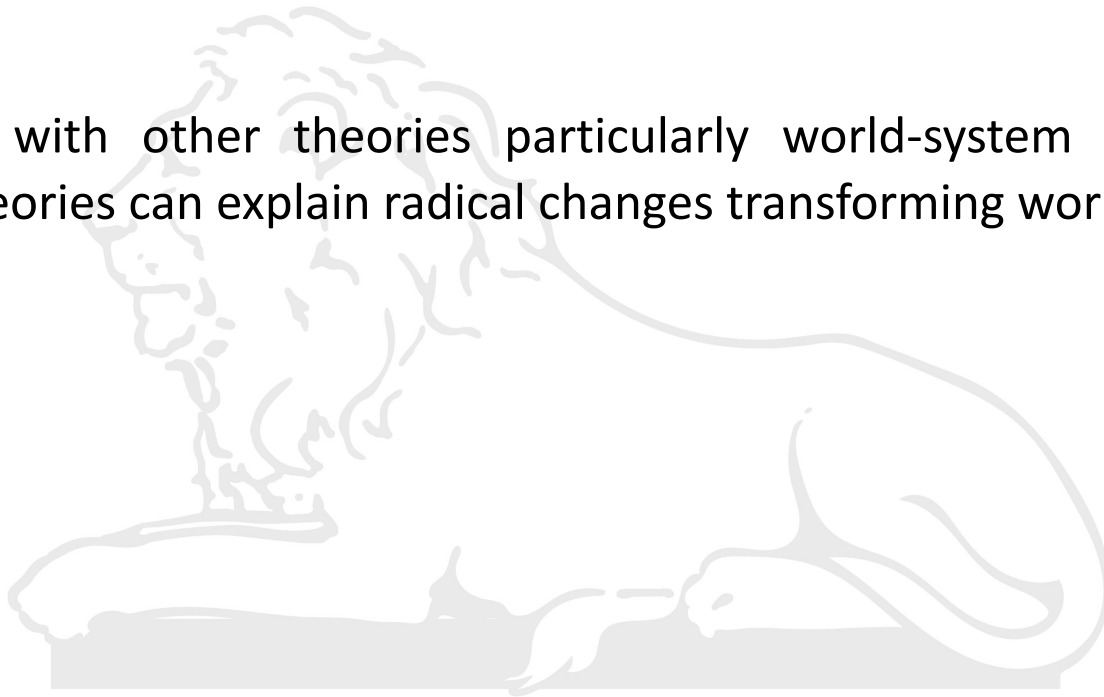
- Exm: Singapore and Hong Kong – largest public housing system outside socialist countries, govt subsidies to keep rent extremely low, no need to pay high wages to pay for their housing;
- Singapore – education and skill devp to compete in global eco market, requires businesses and individuals to set aside savings for future investment

Evaluation of these Theories of Development

- Each has strengths and weaknesses
- Together they enable us to understand causes and cures for global inequality
- Market oriented approach recommend adoption of modern capitalist institutions to promote eco devp
- But they fail to take into account various eco ties between poor countries and wealthy ones – ties that can impede or enhance eco growth

- They tend to blame the LICs themselves for their poverty rather than the outside factors such as business operations of powerful nations
- They Fail to explain why some countries take off economically and others remain poor and underdeveloped
- Dependency theories address how wealthy countries economically exploit poor ones
- They are unable to explain occasional success stories of Brazil, Argentina, Mexico, East Asia, Hong Kong and Singapore formerly dependent on Britain – succeeded economically, countries, once LICs, progressed too, in presence of MNCs
- World system approach look at the global economy as a whole rather than looking at the countries individually
- They examine the complex web of pol and eco rel. that influence devp and inequality in poor countries

- State centred approach stress govt role in fostering eco growth, offer a useful alternative to market approach (looking at state as hindrance) and dependency theory (viewing state as allies of global business elites in exploiting poor)
- Combined with other theories particularly world-system approach, state centred theories can explain radical changes transforming world economy





Indian Software Industry: Neglect or Strategic Intent

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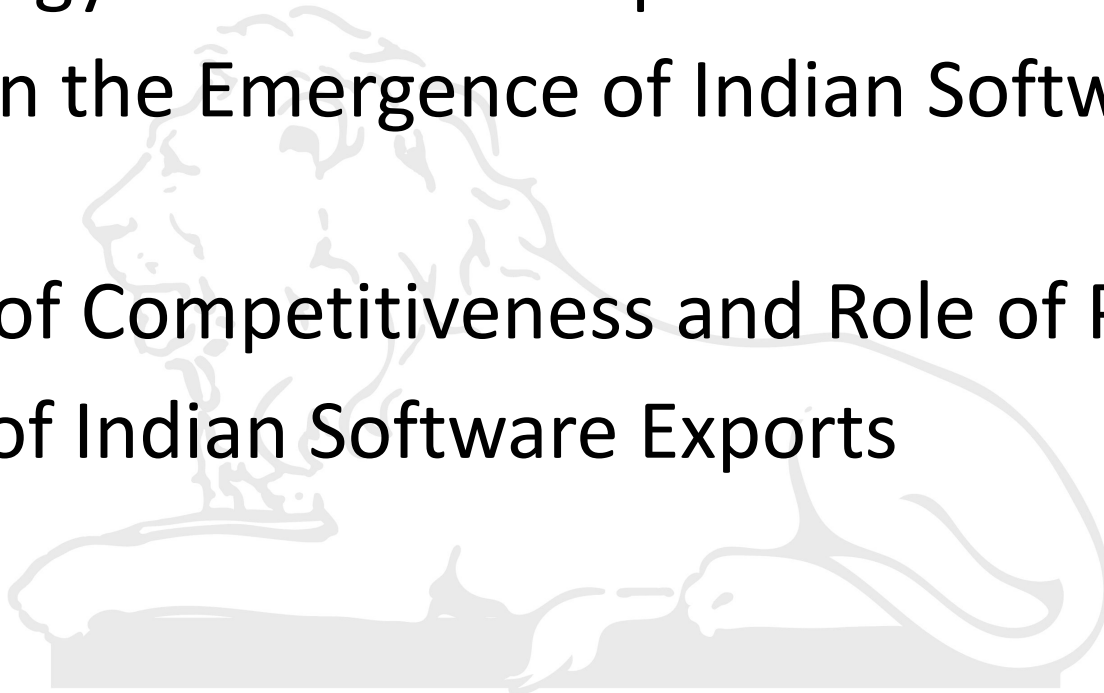
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Indian Software Industry: Neglect or Strategic Intent

- Introduction
- A Typology of Software Exports
- Stages in the Emergence of Indian Software Exports
- Source of Competitiveness and Role of Policy
- Future of Indian Software Exports



Indian Software Industry : Neglect or Strategic Intent

- Development of competitiveness in two stages
 - Long-term investment by the state in technical education and science & technology, with neither necessarily directed at production of software.
 - An incipient software industry with recognisably high export potential has been targeted via fiscal incentives and the provision of export-enabling infrastructure.
- The emergence of a globally competitive Indian software industry serves as an *interesting example of successful state intervention* at a time when the model is largely out of fashion.
- Though Bangalore is not by far the largest site for software development, with Mumbai, Hyderabad and Chennai behind, it has an iconic status as both the *original site and the torchbearer of the Indian IT industry*.

Indian Software Industry : Neglect or Strategic Intent

- As the principal input into the production of software is labour, the competitiveness of the product is directly related to *the price quality (of labour) configuration* that Indian software firms are able to offer.
- Much of these internationally competitive levels of human capital available to Indian software firms have been developed over years of *promotion of higher education* by the Indian state.
- Argument – accounts for the *location of the software industry within the country*
- The policy was not targeted at software; also, it was *largely driven by politics*.
- Since the 1990s, however, the growth of *software exports has been very directly targeted by policy*.

- There was a *policy-driven telecom revolution* in India that having had an enabling effect, as *software exports are communications intensive*.

A Typology of Software Exports

- Three types of software exports from India
Onsite consultancy :
 - In this form of organization of production, the Indian firm provides the client overseas with software professionals, mostly engineers, with the technical skills required to execute the project.

- The project is executed at the client's site.
- The project itself is entirely managed by the client.
- Crucially, the client controls the deliverables and the deadlines.
- This mode of supply is referred to as “body shopping”, perhaps with a view to conveying that no more than directed labour services are sought by the buyer.
- It has the implication that the supplier is able to internalize relatively little of the knowledge gained in the process of software development.

Offshore development

- Involves a mix of locations where the work is done, the software being developed partially in India
- “Offshore” in our case, and partially “onsite” at the customer’s location.
- A few professionals are first sent to the client’s site for requirement analysis or training in the system knowledge, which is essential for the project.
- Having studied the client’s requirement, the advance party returns to India with the specifications.
- The software is then developed offshore in India by a large team within the company.

Indian Software Industry: Neglect or Strategic Intent

- In certain cases, say if the project is large or complex, a couple of the advance party of professionals remains at the client's site to liaise between the team offshore and the customer.
- The organisation of software development is different in this case when compared to body shopping.
- In addition to the technical skills embodied in its personnel, the Indian supplier now also requires knowledge of the software development process and ability to manage the development.
- Ensuring quality and maintaining deadlines, both typically specified in the contract, are the main challenges for the supplier here.

Indian Software Industry : Neglect or Strategic Intent

The offshore development centre

- This is quite similar to offshore development but yet distinct.
- The offshore development centre is a form of organization in which firms in Europe and the US refer projects to Indian companies which undertake the project at a site secured and physically separate from their own.
- An offshore development centre usually involves an umbrella contract with a long-term agreement on prices.
- This form of organization allows multinational companies to maintain a base in India to which they may periodically refer projects, thereby taking advantage of the large pool of skilled labour available at a lower cost in India.

Stages in the Emergence of Indian Software Exports

Software development in a closed economy :

- ❖ In 1991- liberalisation of the economy
- ❖ Examples – *MindTree Consulting*, a blue-chip software firm of Bangalore; *Hindustan Computers (HCL)*, hardware companies etc.

Learning from maintenance :

- ❖ Domestic hardware manufactures contributed to the development of a software industry by building skill base in India
- ❖ Examples – *Tata Consultancy Services (TCS)*

Indian Software Industry : Neglect or Strategic Intent

The export of skilled-labour services

- ❖ This practice has been somewhat derisively termed “*body shopping*” and, in a language that we would all understand a little better, the protagonists themselves given the epithet “*cyber coolie*”.

From body shopping to offshore development :

- ❖ One factor that enabled this was the advent of the software technology park (STP).
- ❖ Early 1990s, radically transformed the environment for software production in India and thus the Indian IT industry
- ❖ Software production sites emerged in India, with the infrastructure, technology, training programmes, productivity tools and methodology of customer’s workplace.

Indian Software Industry : Neglect or Strategic Intent

- ❖ Convert skills gained from specific projects in specific areas such as banking, retailing or telecommunications into a generic product for potential clients in the same area
- ❖ The rise of the offshore model reflected the rising confidence in the Indian software firm worldwide.

Source of Competitiveness and Role of Policy

- One view, recorded without subscription to it by Joseph and Harilal (2001), of the history of IT in India is that the industry has been the beneficiary of a “*benign neglect*”.
- It is an allusion to the fact that unlike the larger units of the registered manufacturing sector the IT industry in India may have *escaped the more obtrusive attentions of the lower bureaucracy*.

Indian Software Industry : Neglect or Strategic Intent

- *Factories Act* governed the economic units.
- Requiring them to comply with a *plethora of laws* ranging from *health and safety* to employment conditions (“*labour laws*” in India)
- “*Inspector raj*”, perceived as a source of harassment for much of Indian manufacturing, e.g. small sector
- While it is true that quite by default the IT industry has not had to deal with the debilitating *bureaucratic hassles* faced by most *Indian entrepreneurs*
- It would hardly be correct to say that it attained its current international status, based on the fierce competitiveness of its product, through governmental neglect, whether “*benign*” or of any other kind.

Indian Software Industry : Neglect or Strategic Intent

- There was a concerted effort to build up a domestic IT capability during the premiership of Rajiv Gandhi, even though the electronic policy then was aimed almost exclusively at the development of computer hardware.
- Exclusive STPs promoted by the central government provided the IT industry a physical site geared towards production and export of software.
- For at least three decades before the emergence of IT exports from India the government invested in engineering colleges.
- Bangalore was India's science city, a deliberate construction of the policy of trying to establish an independent, world-class scientific foundation on Indian soil.

Indian Software Industry : Neglect or Strategic Intent

- By locating here, private entrepreneurs had access to scientists, engineers and management professionals who had honed their skills in the best technological environment in India, almost exclusively created by the government.

Listing of the industrial and scientific research institutions in Bangalore – by Parthasarathy, 2005: 226

- Public sector enterprises – *Bharat Earth Movers Limited, Bharat Electronics Limited and Hindustan Aeronautics Limited* under the Ministry of Defence
- *Bharat Heavy Electricals Limited and Hindustan Machine Tools* under the Ministry of Heavy Industry and Public Enterprises
- *Indian Telephone Industries* under the Department of Telecommunications (DoT)



- 9 of the 49 Defence Research and Development Organisation's (DRDO) laboratories are in Bangalore – *Aeronautical Development Agency, Centre for Air Borne Systems, Centre for Artificial Intelligence and Robotics, Centre for Aeronautical Systems Studies and Analysis, Defence Avionics Research Establishment, Electronics and Radar Development Establishment, Microwave Tube R&D Centre*
- A laboratory of the *Centre for Development of Advanced Computing* and a location of the *National Centre for Software Technology*, both under the Department of Information Technology, and a laboratory of the *Centre for Development of telematics* of the DoT is in the city.

Indian Software Industry : Neglect or Strategic Intent



- Bangalore is home to the Council of Scientific and Industrial Research's (CSIR) *National Aerospace laboratories*, and the *Centre for Mathematical Modelling and Computer Simulation*.
- The *Indian Space Research organization (ISRO)* of the Department of Space is also located in Bangalore.
- It cannot escape one's attention that few locations worldwide can boast of such a concentration of varied knowledge using and knowledge producing institutions.
- It can no longer remain a puzzle why the Indian IT industry got located here. The fact of these institutions having been developed exclusively by the state is vital information in the context, as it helps us see the contribution of policy to the development of the industry.

Indian Software Industry : Neglect or Strategic Intent

- Additional reason for the concentration of the Indian IT industry in Bangalore, Pune, Hyderabad and Chennai because this is the region with the highest concentration of *engineering colleges, mostly private*, in the country.
- Fresh engineers are the most important input into software development. But there is a role of policy to be discerned in this factor too.
- While engineering colleges have mushroomed in the private sector since the rise of an Indian IT industry that provides a seemingly endless employment potential, the original thrust to engineering education in India had come from the government as early as the 1950s.

Indian Software Industry : Neglect or Strategic Intent

- A subsidy, that almost waived fees, had enabled many in the country with low incomes to avail of a technical education.
- By the 1990s when the stage was set for accelerated globalization, the Indian IT industry had at its command a stock of skilled workers, many of them turned out from the government sector. Once again, “benign neglect” appears to characterise poorly this publicly endowed legacy.
- On the supply side the 1990s had witnessed both the dramatic decline in telecommunication costs and the commercialization of the internet.

Future of Indian Software Exports

- Success of Indian IT exports based on a competitiveness derived from *low wage cost*
- It is apparent in the nature of the exports, mainly software services.
- An industry that is based primarily on providing relatively simple software programming and coding services, exploiting its superior access to a supply of cheap software programmers, and with only limited degree of technical and managerial contribution (Arora et al 2001).
- While not taking away from the high levels of skill embodied in India's software engineers, the industry- business model clearly is one of arbitraging on labour cost.

- Why Indian IT must move from this model ?
 - Because, the source of the advantage is unlikely to last forever. China and east Europe, both repositories of engineering skills at least comparable to that of India, are said to be catching up in the area of software services.
 - If the goal of any industry is to move up the value chain, it is particularly relevant for the Indian industry to provide more value-added services, such as consultancy, and also move beyond IT services to IT product.
 - Specifically, the challenge is to provide “solutions” to business problems rather than the programming solutions provided to either the customer directly or to IT consulting firms such as Accenture or Oracle. This would require much greater “domain expertise” and the business practices generally.

- Another view which has two aspects:
 - Practitioners state, it is also important to acknowledge that the services provided by Indian companies have already moved into significantly higher value-added segments such as mission-critical applications, development and support, product design and large complex projects.
 - While the advice to move from services into products is to move up the value chain while yet remaining competitive enough to occupy the entire spectrum.
- A country as large as India, it is pointed out, cannot afford to vacate the low-end services market, as the base of the pyramid provides the largest employment opportunity and currently the largest market.

Indian Software Industry : Neglect or Strategic Intent



- Two observations:
 - If the history of Indian software industry is any indication, neither of the two challenges identified here are insurmountable.
 - While it remains to be seen in which direction the Indian software industry will move, currently its prospects seem reasonably well assured.

References

Balakrishnan, P (2006): *Benign Neglect or Strategic Intent? Contested Lineage of Indian software Industry*, Special Articles, Economic and Political weekly



Japanese Model of Bureaucracy

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Introduction

- Weber's model of bureaucracy - hierarchical and top-down decision making - is now starting to look archaic.
- Numerous organizations in the West are turning to 'horizontal', collaborative models - ***The Japanese Model*** - in order to become more flexible and responsive to fluctuating markets.
- The economic success of Japan is primarily attributed to the distinctive characteristics of large Japanese corporations.
- This organizational characteristics of Japanese corporations have been adapted and modified in other countries in recent years.

Organizational change: The Japanese Model



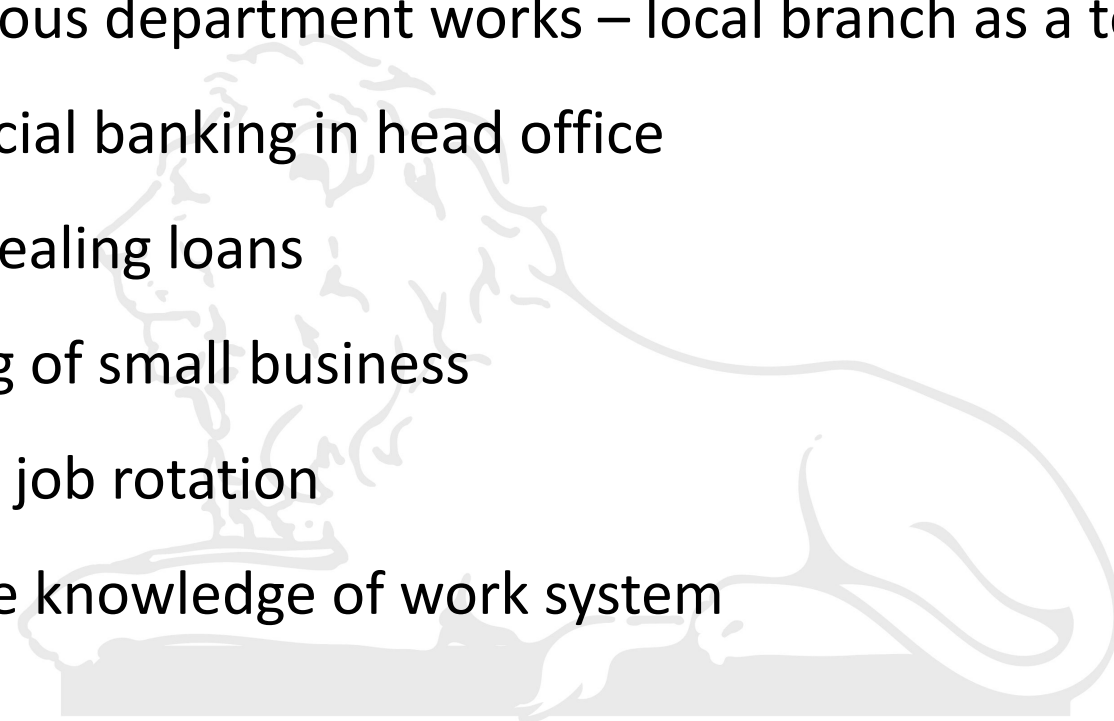
□ Bottom-up decision making

- No pyramid of authority
- Workers low down in the organization are consulted
- Frequent meetings of management, workers and top executives regarding policies

□ Less Specialization

- Mastering all important tasks in the organization
- Example: Banking organization

Organizational change: The Japanese Model

- i. Management trainee for one year
 - ii. How various department works – local branch as a teller
 - iii. Commercial banking in head office
 - iv. Branch dealing loans
 - v. Financing of small business
 - vi. Constant job rotation
 - vii. Complete knowledge of work system
- 
- A faint, light gray background image of a lion statue, likely the IIT Roorkee Lion, is visible behind the list items.

Organizational change: The Japanese Model

□ Job security

- Corporations are committed to lifetime employment of hired employees
- Pay and responsibility are linked to seniority
- Less competitive struggles for promotion

□ Group-oriented production

- Formation of small cooperative 'teams' or work groups
- Group performance is evaluated not individuals
- Organization charts of Japan companies – maps of authority system – show only position of groups (contradict iron law of Oligarchy)

Organizational change: The Japanese Model

□ Merging of work and private lives

- No distinction between work and outside activity
- Japanese corporation provide for employee needs expecting a high level of loyalty to the firm
- Workers receive material benefits apart from their salary
- Company loans for housing, children's education and to help with the cost of weddings and funerals

Conclusion

- Studies of Japanese-run plants in Britain and US indicates the bottom-up decision making and horizontal model of management that enhances the involvement and loyalty among the workers.
- The Japanese Model of Bureaucracy proved to be an alternative to Weberian model which is less effective and more hierarchical in nature.



Job Discrimination in India : Sukhadev Thorat & Paul Attewell

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Job Discrimination in India

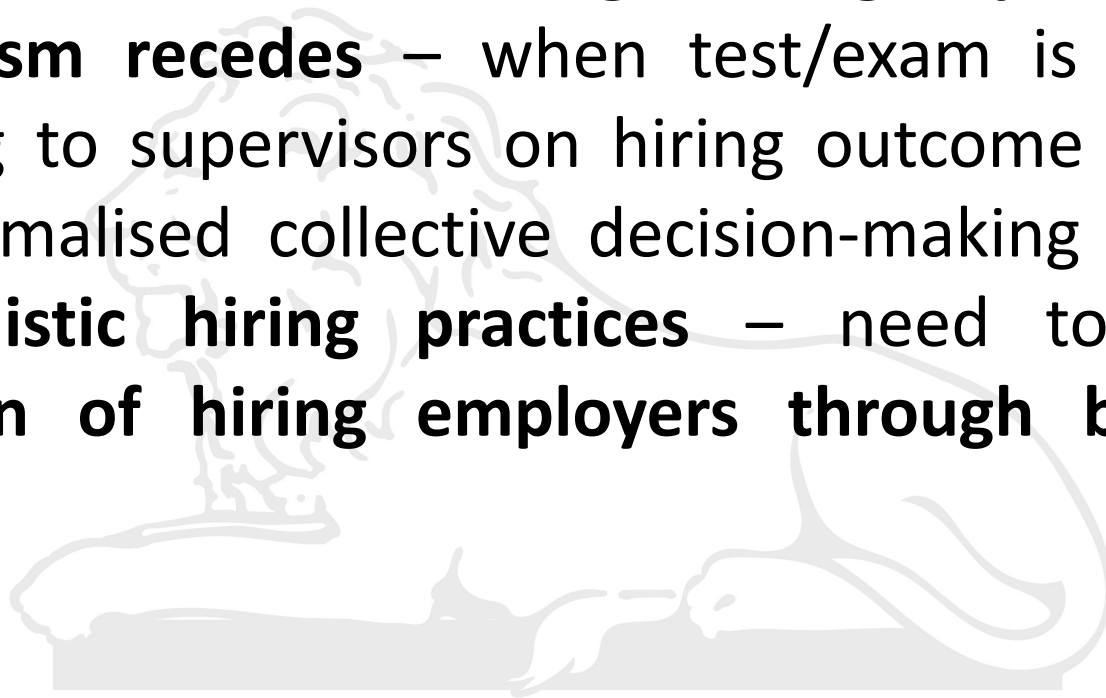
- ❑ **Caste inequality persists** – restricts employment opportunities for lower castes
- ❑ Generally, the **lack of chances** is attributed to economic backwardness of region, low education
- ❑ **Field experiment** is used as a useful tool to determine present-day discrimination

Max Weber – Theory on Social Stratification



- Max Weber – emphasised on **status groups** in social stratification
- Communities/groups (along caste, religion, class, ethnic, racial, education) enjoy **different amounts of social honour** → Share a **certain lifestyle**, maintain solidarity through social activities & **exclusion of others**
- People holding **important positions** within large organisation – develop a sense – certain kind of person more suited for jobs – who are **socially familiar**

- **Kanter terms** – *homosocial reproduction*
- Employers hold **‘out-groups’** as unsuitable for employment
- **Social networks** – important for getting jobs at all levels, and social networks run **along status group lines**
- **Favouritism recedes** – when test/exam is conducted, reporting to supervisors on hiring outcome & applicant pool, formalised collective decision-making – enhances **universalistic hiring practices** – need to limit the discretion of hiring employers through bureaucratic rules



Methods & Data

- Oct 2005 – Oct 2007 – collected **clippings of job openings** from TOI, HT, Hindu, Deccan Chronicle, Deccan Herald
- For **non-specialised** positions or jobs not requiring plenty of experience
- But for **entry-level jobs** (minimum qualification – graduation)
- Types of companies (only private): **securities, investment companies**, pharmaceuticals, medical sales, computer sales & support, IT services, accounting, manufacturing, auto sales, marketing, mass media, veterinary & agricultural sales, construction, & banking

- ❑ **Correspondence through submitting by post**
- ❑ Three sets of matched applications: **Letters & resumes** (in English) for each job, with identical educational qualification from reputed universities, relevant experience & skill as required
- ❑ To maximise likelihood of an applicant getting **shortlisted (All male applicants)**
- ❑ Three sets, varied in **caste & religion background** – names: High caste Hindu, low caste Hindu, Muslim
- ❑ Study conducted only for determining whether applicant **gets to next stage** (written/interview)
- ❑ Said **NO** once selected
- ❑ To same employer: atleast 2 sets for higher-educational credential & low educational credential (Masters & Grad)

❑ **Discordant Application**

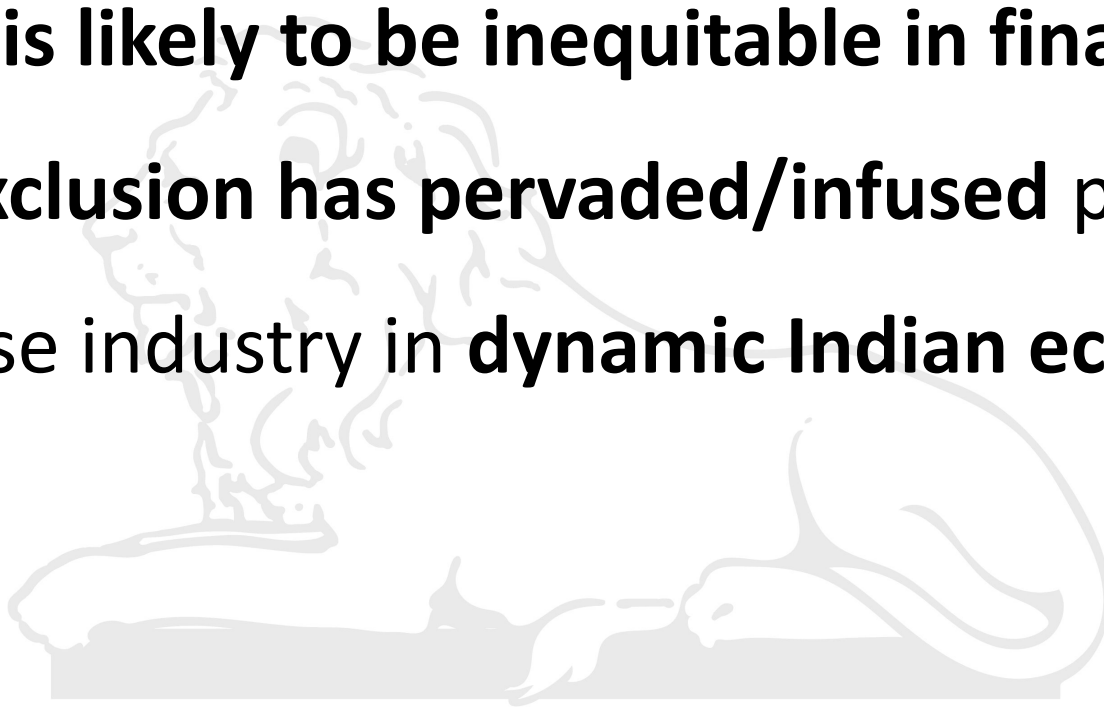
- ❑ One **discordant application** added to 3 –
For instance – job requiring BA, we sent one MA Dalit & for Masters degree requirement, one BA High Caste Hindu
→ Underqualified socially high (High Caste Hindu)
→ Overqualified socially low (Dalit)
- ❑ **Purpose** – a yardstick to figure out in processing of application – who outweighs what: **Caste or Edu. Qualification**
- ❑ Total period of study = **66 weeks**
- ❑ Initially **1 set** of applications but success rate rare → so shifted to **3 sets per application**

Findings

- Results suggest that –**College-educated lower caste & Muslim job applicants fare less well** than equivalently qualified higher caste applicants
- When applying by mail for **modern private enterprise sector**
- Only **names mentioned**, no other background
- **Not known who were finally hired**
- Because Indian private cos are **not bound by law** to provide caste & religious composition of their workforce (unlike USA where it's mandatory under Federal Equal Employment Opportunity Commission)

Findings

- It is speculated that **if it is inequitable at first stage, it is likely to be inequitable in final stage**
- **Social exclusion has pervaded/infused private enterprise industry in dynamic Indian economy**



McDonaldisation: Impact of Industry on Society

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McDonaldisation of Society

- Business Corporations (BCs) are slowly but shockingly transforming the world around us
- BCs are rationalizing the market economy
- Rationality - in industry parlance - the process of organization of production according to the canons of logic and efficiency
- the process of rationalization as adopted by the BCs is increasingly dominating the different spheres of our lives

McDonaldisation of Society

- A society characterized by rationality emphasizes on **efficiency, predictability, calculability, substitution of non-human technology and control over uncertainty**
- **Max Weber – Rationalisation Process – A process marked by logic and empiricism – Attainment of goal by applying the most effective and efficient method**
- **George Ritzer – McDonaldisation (A process whereby the principles adopted in fast-food industry are increasing coming to dominate different domains of our society and life)**
- **McDonaldisation - A modification of Weber's Bureaucracy, Fordism and Taylor's scientific management**

Efficiency

- ❖ Efficiency is method that puts a premium on finding the best or optimum means to any given end
- ❖ The end product is to be achieved by emphasizing on the best means possible
- ❖ In the McDonald fast food chain, the quick making and delivery of food (such as McBurgers, McAlloo) is attained by minimizing the number of items of the menu, thereby limiting the choice of the customers and consequently focusing on making only a few items for consumption

Efficiency

- ❖ The mass production technique used in chicken or milk production is a strong case in point
- ❖ Irrational element: feeding of chemicals to chicken & cows for more production – leads to diseases to animals as well as to final consumers
- ❖ The growing popularity of twenty-twenty tournament in cricket attest to the pervasive influence of efficiency principle of BCs
- ❖ Irrational element: Taking away the essence of the game

Predictability

- ☐ People want to know what is to be expected in a given setting and predict beforehand what lays in store for them
- ☐ In McDonald chain operations the chains keep a limited simple menu which the customers know in advance
- ☐ They even know how each of these items is going to taste
- ☐ The predictable end products are made possible by the use of similar raw materials, technologies and preparations and serving techniques
- ☐ the employees are similarly dressed in every chain
- ☐ The setting & The ambience is also predictable

Predictability

- ❑ The examples of such predictability are legion
- ❑ The tourism industry is thriving on the packaged tours where the journey plan, accommodation and sight seeing are pre-planned
- ❑ The shopping malls, departmental stores, instant *dosa* and *parathas* available in market, camping in the wild and use of artificial turf in hockey to negate the uncertainties of weather and bounce in games are all indicators of adoption of the principle
- ❑ In the process we are slowly and unconsciously getting rid of many important 'irrational' human experiences such as uncertainty, thrill and adventure

Calculability

- Calculability essentially implies increasing reliance on quantification in our lives than on quality
- The stress is on things that can be counted or measured
- In a McDonald chain, “A big Mac” or a “Combo” rather than “A good Mac”
- Size does matter in a McDonaldised world
- The focus is on how many burgers or pizzas one sells, how fast a particular food item can be made, how many customers is being catered to
- What we lack is quality of products

Calculability

- In academics, there is substantial shift from descriptive answers to multiple choice questions and objective type answers
- Feedback form for Faculty members – Teacher's ability reduced to numbers
- Taylorism and Fordism – resulted in job dissatisfaction, lack of creativity, workers protest
- Reebok, Nike, Adidas – equate quantity with quality – costlier the shoe better the product

Substitution of non-human technology

- o It involves replacement of independent and thinking human beings by technologies that lack the ability to think and act in unpredictable ways
- o The use of drink dispensers, which shuts themselves up when the cup is full, buzzers, lights and bells which indicate when food is done (e.g., French fries), cash registers which have the prices of each item programmed in are the reflections of such use of non-human technology

Substitution of non-human technology

- o Taylorism and Fordism point to such extensive use of non-human technology
- o Deskilling is another offshoot of such an approach. In the Fordism and Taylorism, the skills are built into the routines rather than belonging to the skilled craftspersons
- o The work involves simple repetitive monotonous steps which any unskilled person can do with a little training
- o In fast food chain, it appears we deal with human robots than human beings

Control over uncertainty

- The rational systems are oriented to allow for greater control over the uncertainties of life – birth, death, food production, etc. and aims at control of major source of uncertainty in life: other people
- In a McDonald system, not only the employees but also the customers/clients they serve are controlled
- Unpaid employees
- Both the customers and the employees' behaviour are controlled

Control over uncertainty

- Such kind of practices are followed in departmental stores, malls, supermarkets etc.
- The other examples of such control can be found in medical services
- The notorious practice of ultra sound method to determine the sex of the child
- Bio-technology – use of killer/terminal seeds by companies to control food production
- We can also include cloning and other advances in genetic engineering as instances of endeavours to control our future
- What we need to look at is the ethical issues involved in it

Conclusion

- ✓ Excess of rational principles leads to irrational systems A Homogenized world which involves elimination of differences, less attention span of Gen Next, growing intolerance (indirect result of singular worldview)
- ✓ It will lead us to a situation in which rationality predominates, leaving no room for the mysterious, unpredictable qualities that make us human
- ✓ We will be trapped in a “Iron Cage of Rationality”

New Trends in Work

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New Trends in Work

- ❖ Economic redundancy of workers
- ❖ Workers unprotected from technological change & globalization
- ❖ Earlier workers were secure
- ❖ Long term commitment from employers
- ❖ Reward less when young & pay more when old
- ❖ For workers, there was a reward system to work hard
- ❖ Mid-70s - Formation of OPEC - Economic Stagnation, Inflation & Unemployment
- ❖ Competition from Japanese products

New Trends in Work

1. Massive downsizing of permanent workforce

- Earlier data/info collectors & storers & interpreters were required to keep track of employee activities, salary pay-off, insurance, legal documents, equipment & maintenance, purchase order
- Hierarchy - paperwork-proper communication
- 1st reason: Computer replaced workers
- Less costly - no training & skill required – so no commitment by employers
- 2nd reason: globalization - competition- due to better communication (internet) & transportation
- Flexible & multi-task workers can survive & benefit
- No real chance of steady job & perks

New Trends in Work

2. Growing use of temporary workers

- Hotels (holiday seasons), tax time (lawyers & accountants) more employees are required
- Saves money on salary slips
- Sub-contracting
- Saves cost by laying off HR Personnel
- Frequent job change can be interesting as it avoids boredom & monotony

3. Extensive use of subcontracting and outsourcing

- It occurs when firm decides to hire an independent company to produce products or services – once produced in-house
- It is possible due to faster communication, computerisation & high-speed internet

New Trends in Work

4. Flatter organisational hierarchy

- New information technology eliminated need for middle management

5. Postunionised working environment

- There is scope for less unionisation. It is like shooting at moving target.
- No fixed place or site, No communication except email, No permanent employees, No actual location
- Makes it difficult for collective bargaining
- Still people demand for reframing laws to protect employees

Cycle of Work & Spend

- Credit card menace
- Exposure to different lifestyle due to computer, internet & globalization
- There is a desire for such lifestyle
- Leads to trap of credit card lifestyle – PARTICULARLY STUDENTS
- In order to pay debt, people/students work on multiple jobs, work overtime, discontinue studies
- Different kind of stratification system
- Possession of consumer goods - not a reflection of wealth, actual job & earnings
- 70% college students – owned credit cards
- 1998: Indiana University administration – we lose more students to credit card debt than to academic failure
- Trouble finding jobs – for example – interview at one wall street Banking Firm
- Decline of /in community ties



Principle of scientific management – F.W. Taylor

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Frederick Winslow Taylor (1856–1915)

Frederick Winslow Taylor (1856–1915)

- Book published in 1911
- Started out as an apprentice patternmaker & machinist at a Philadelphia firm
- Later joined as a labourer in Midvale Steel Company
- Took a degree in mechanical engineering
- Became chief engineer in six years
- His rise in 6 years: gang boss → assistant foreman → foreman in machine shop → master mechanic → chief draughtsman → chief engineer
- The background was suitable
- Business enterprises – expanding in size & scope, industrial production increasingly complex
- Mechanical engineer – key role – for meeting need of machine production

Principle of scientific management

- To meet the needs of machine production – mechanical engineering – key
- F.W. Taylor – brought an engineering mind & viewpoint to personnel & industrial management
- He believed – if management acts on his ideas, work would be more satisfying & profitable
 - Workers would be motivated by obtaining highest possible wages through working in the most efficient & productive way
 - He set out a no. of principles:
 - Development of a true science for each person's work
 - Scientific selection, training & development of the workers
 - Cooperation with workers to ensure work is carried out in prescribed way
 - Division of work & responsibility between management & workers

Principle of Scientific Management

Basic Principles

- Assign all responsibility for organization of work to managers rather than workers. Managers should do all thinking – related to planning & design of work – workers - carry out task
- Use scientific method to determine the one best way of performing each task. Managers should design each worker's job accordingly, specifying a set of standard methods
- Select person most suited to each job to perform that job. Managers should match workers' abilities to job demands
- Train the workers to perform the job correctly. Worker should be trained to use standard method
- Monitor work performance, constant supervision to ensure workers perform the job in one best way
- Provide further support by planning work assignments & eliminating interruptions – shield distractions interfering with job performance

Principle of Scientific Management

Time & Motion Study

- Study the exact series of elementary operations or motions that each of these men uses in doing the work being
- Study with stopwatch – time required to make each of these elementary movements, select the quickest way of doing each element of work
- Eliminate false movement, slow movements, useless movements
- He had accepted the concept that man is an Economic Person
- An individual acts rationally to advance one's own interest
- Pay is the principal incentive
- Experiment on Dutch worker Schmidt – a worker in pig iron section in Bethlehem Steel corporation
- He promoted idea of “fair day's work” & “fair day's wage”
- He experimented on worker fatigue, methods of shovelling, ball-bearing inspection, pig-iron handling, and metal-cutting

Principle of Scientific Management

- Accurate time study – the foundation of scientific management
- Invented high-speed steel cutting
- His main concern was
 - Increase productivity & efficiency
 - Careful selection of workers & proper training
 - Given work they'd be able to do best
 - Reward system for workers
 - Harmonious relationship between employer, supervisor & worker

Problems

- Pro-management
- Distrust of workers
- Time study – management devise – distrust of workers' willingness to work
- Promotes management interest solely:
 1. Raise level of workers effort
 2. Recapture all the benefits of job improvement

Principle of Scientific Management

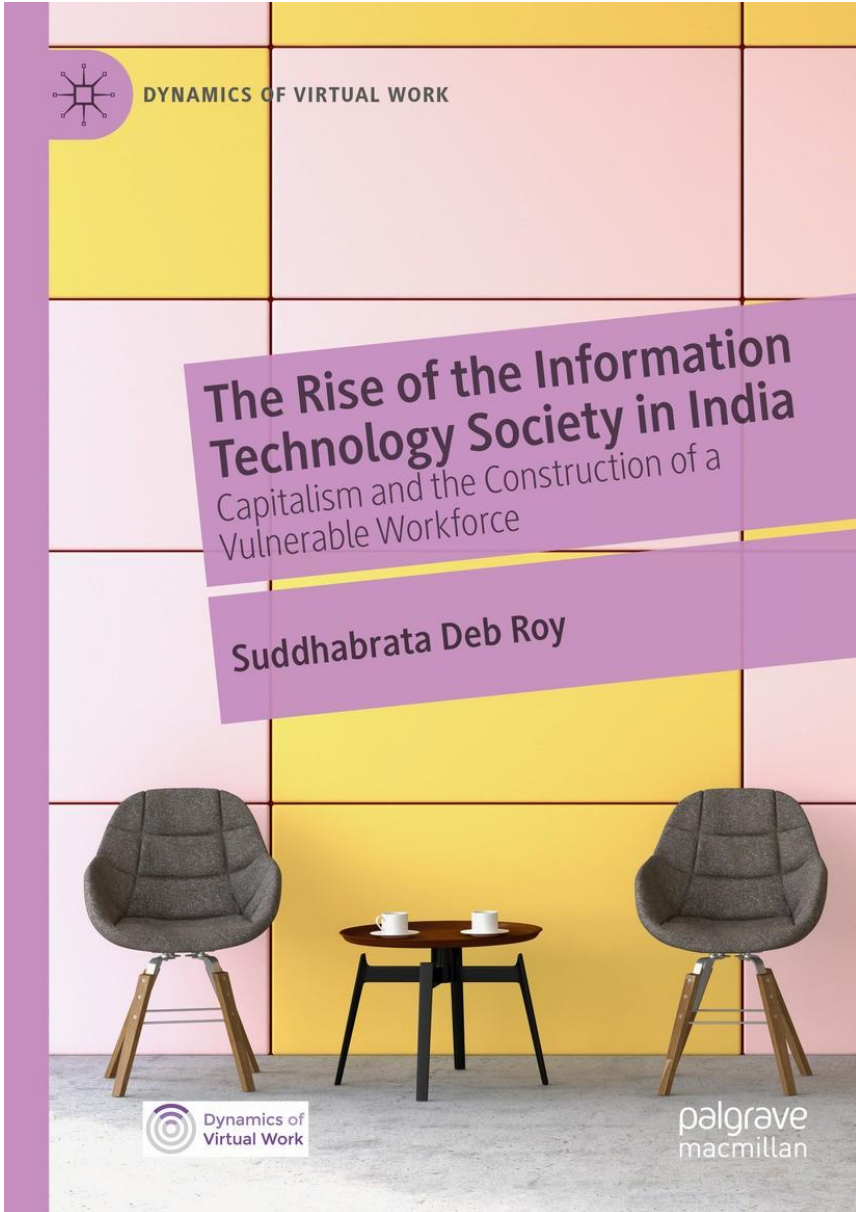
- For acceptance of Principle:
 - Labour union must be recognised
 - Participation of workers in Time and Motion study
- Wage incentive, in general, failed in principle - did not meet management objective of increasing production, workers' goal of higher pay
 - Increased use of technology work/production depends on capacity of machine rather worker
- Pioneered rest pauses, job evaluation, incentive system
- Work simplification, merit rating & joint consultation
- Harmonious relationship of workers & employees
- Food, health, accident treatment & prevention – major concerns of most organisation
- Environment factors/physical setting – light, colour, sound, noise, music, heat – key elements

HSS 207 – Industrial Sociology

Course Instructor – Prof. Anindya J. Mishra

Understanding the Changing Work Conditions





Ch 7: Techie Unionization in the IT Society

Book Title: *The Rise of the Information Technology Society in India*

Author: Siddhabrata Deb Roy

Why do Trade Unions exist?

- **Trade Unions despite being flawed still remain the primary schools of class struggle (Marx,1847)**
- Trade unions have been central to shaping the modern workplace.
- Many of the rights we often take for granted today such as the five-day workweek, paid leave, and sick pay were not simply given, but won through collective struggle
- A trade union is **a voluntary organisation of workers** in a particular trade, industry, or company and is formed to **promote and protect their interests and welfare by collective action.**
- Trade Unions are often classified as the most suitable organisations for balancing and improving the **relations between the employer and the employees.**

Why do Trade Unions exist?

- Unions create a powerful, unified voice that can negotiate with employers for fair wages, safe working conditions, and dignity at work.
- Through **collective bargaining**, unions have consistently secured better terms and protections for their members, while also pushing for broader legal reforms such as minimum wage laws, limits on working hours, paid holidays, equal pay and anti-discrimination policies.
- Unions are responsible for securing and improving maternity, paternity, shared parental and carer leave for millions of workers.

Why do Trade Unions exist?

- Unions provide essential support systems—offering legal assistance, representation in disputes, and protection against unfair treatment.
- They also contribute to safer workplaces by advocating for health and safety standards.
- At their core, trade unions foster solidarity, ensuring that workers are not isolated individuals but part of a larger collective with shared interests making workplaces more equitable and humane.

History of Trade Unions in India

Origins (Early 20th century):

EmergEd in industrial centres like **Bombay, Calcutta, Madras** during colonial rule

Early Demands: Better wages,
Reduced working hours, Job security,
Basic worker rights

Growth Phase (1920s–1970s):

- Expansion with industrialisation
- Strong links with political parties
- Key role in labour laws and national movements

Peak Influence (Post-independence):

- Dominant in public sector industries
- Secured benefits like pensions, job protection

Decline (1990s onwards):

- Liberalisation & privatisation
- Rise of informal and contract labour
- Growth of service sectors (like IT)
- Depoliticisation and individualism

History of Trade Unions in India

First Phase (1850–1900)

- The first signs of trade union movement in India emerged during the late 19th century as a response to industrialisation and severe worker exploitation under British rule.
- Workers lacked organisation and bargaining power due to **laissez-faire** policies, low wages, long hours, and insecure employment.
- To regulate the working hours and other service conditions of the Indian textile labourers, the *Indian Factories Act* was enacted in 1881 (amended in 1891). As a result, the employment of child labour was prohibited.
- Inspired by developments in Europe and growing class consciousness, workers began forming early associations such as the Bombay Mill-Hands Association (1890).

History of Trade Unions in India - **Second Phase (1900–1946)**

- In the early 20th century, trade unions became more organised, influenced by global events like the Russian Revolution (1917) and India's national freedom struggle.
- Between 1918 and 1923, many formal unions came into existence in the country.
- The industrial unrest grew as a result of the great economic difficulties created by the First World War. The rising cost of living prompted the workers to demand reasonable wages. The *Swaraj* movement intensified simultaneously.
- This period saw the formation of major unions such as the All India Trade Union Congress (1920) and the passing of the Trade Unions Act (1926), which gave legal recognition to unions and enabled collective bargaining.
- A strike was launched by these unions under the leadership of Mahatma Gandhi, who turned it into a *Satyagraha*. These unions federated into an industrial union known as the *Textile Labour Association* in 1920.

History of Trade Unions in India-

Third Phase (1947 onwards)

- By 1949, four central trade union organizations were functioning in the country.
- The working-class movement was, however, *politicized* along the lines of political parties.
- For e.g., AITUC was led by *Communist Party of India (CPI)*, Indian National Trade Union Congress (INTUC) by Congress, Bhartiya Mazdoor Sangh (BMS) by Bhartiya Janata Party and so on.

[Source: <https://corridalegal.com/the-historical-journey-of-indias-trade-union-movement/>]

Pre-Liberalisation Indian Economy under License Raj (1951–1991)

- Businesses needed government licenses to start, expand, or produce goods
- Strict rules on layoffs and company closures
- Imports were heavily restricted through: High tariffs, Quotas and bans (e.g., car tariffs-125%)
- India had some of the highest tariffs in the world by 1985
- Government controlled key industries through nationalisation and state-owned enterprises

The Crisis that led to the NEP

- In the 1980s, India's GDP growth improved (from 2.9% in the 1970s to 5.6%) mainly because of:
 - Early economic liberalisation
 - Increased government spending and foreign borrowing
- Investment in the economy increased, mostly driven by the public sector, while private sector investment declined.
- Foreign borrowing helped growth by covering the gap between imports and exports.
- But it also caused foreign debt to rise sharply from \$20B to \$64B in the 1980s.



On May 28-30, 1970, trade union activists from 18 states representing 1,759 trade unions assembled in Kolkata's Ranji Stadium, renamed Lenin Nagar for the conference.

Source: <https://www.newsclick.in/CITU-Trade-Union-50-Years-Workers-Struggle-Protest-BTR>

1990s: Introduction of neoliberal reforms and the overhaul of the Indian economy & society

- New Economic Policy 1991 (NEP 1991) marked a transformative shift in India's economic landscape, steering the country from a closed, centrally planned economy to a more liberalized and market-oriented one.
- Introduced amidst a severe economic crisis, the NEP aimed to stabilize the economy, enhance efficiency, and integrate India into the global market.
- Key components of the policy included liberalization, privatization, and globalization, collectively known as the **LPG model**.
- These reforms dismantled the '**License Raj**' reducing the public sector's dominance, and opened avenues for foreign investment, laying the foundation for India's rapid economic growth in the subsequent decades.
- This led to reduced government control over the economy, encouraging private sector participation and FDI.

Rise of the IT Sector under Neoliberalism

- The rapid growth of the IT sector in India was the result of a combination of economic and socio-cultural factor
- **Economic Reforms & Policy Support:** After the **1991 liberalisation**, restrictions on private business and foreign investment were reduced. Government initiatives like **Software Technology Parks (STPI)** gave tax benefits and infrastructure, allowing companies like **Infosys** and **TCS** to scale rapidly.
- **Global Outsourcing Boom:** Western companies began outsourcing work to cut costs. Events like the **Y2K problem (1999–2000)** led firms such as **Wipro** and **Infosys** to handle critical global projects, building India's reputation as a reliable IT destination.
- **Skilled, English-speaking Workforce:** Institutions like the **IITs** and **engineering colleges** produced millions of graduates. Combined with English proficiency, this made Indian workers ideal for global clients.

Rise of the IT Sector under Neoliberalism

- **Low Cost, High Quality Advantage:** Indian firms could deliver the same services as US companies at a fraction of the cost, making cities like **Bangalore** (“**Silicon Valley of India**”) global IT hubs.
- **Infrastructure & Urban Growth:** Expansion of telecom and internet enabled remote work and services. IT clusters grew in **Bangalore, Hyderabad, Pune, and Gurgaon**, attracting both Indian firms and MNCs like **IBM, Microsoft, and Accenture**.
- **Shift to Service Economy:** India became the “**back office of the world**”, with BPOs handling customer support, banking, and data processing for global companies.
- **Continuous Evolution:** The sector moved from basic coding to advanced areas like **AI, cloud computing, fintech, and startups (Flipkart, Paytm, Ola)**, making it central to India’s economy today.

Why have there been no IT sector unions for so long?

- The IT workers' movement in India took root in Infosys in Pune, where the Forum for IT Employees (FITE) was the first trade union to get registered as a trade union specifically for IT workers in 2017.
- The All India IT and ITeS Employees' Union (AIITEU) a national organisation with branches across the country, including Kolkata, Bengaluru, Pune, Noida, and Gurgaon was founded on 6 January, 2018.
- As of early 2026, the Information Technology (IT) and Business Process Management (BPM) sector in India employs approximately **5.95 million (59.5 lakh) professionals** and yet, as per estimates only **5% of IT workers are unionised**.
- **This is due to them not seeing itself as part of the working class**
- IT workers often enjoy higher salaries and lifestyle advantages, which shapes their identity and attitudes toward labour politics.

Why IT Workers Are Hard to Unionize?

1. **Part of the “Metro Middle Class” (MMC) demography** the highly educated IT professionals lead an urban, tech-savvy lifestyle with a strong consumer culture, and a desire for fast career growth and high salaries. They often believe **they benefit from the capitalist system**, so they do not see unions as necessary.
2. **Class confusion:** IT workers primarily consider themselves professionals, not labourers, believing unions are for factory workers. Hence, they prioritise personal advancement over collective struggle
3. **De-politicisation:** Many IT workers avoid politics and think unions are “too political” and coming from diverse backgrounds they do not relate to the objectives of unionisation.
4. **Political Stigma Around Trade Unions:** Some workers associate unions with Communism and Left-wing politics seeing them as “anti- development”, or linked to extremist ideologies which discourages participation
5. **Fear of Job Loss:** Private-sector employees fear that joining unions could anger management or they may lose their jobs. Especially, since layoffs are common in the tech industry, workers avoid activism.
6. **Corporate Work Culture** IT companies promote high productivity, long working hours, competitive individualism, this reduces solidarity among workers.
7. **There are also structural/institutional Barriers to Unionisation** since Tech parks (SEZs) highly discourage union activity. Thus, the accessibility required for workplace unionising in the IT sector is extremely rare in the case of India

Neoliberal Impact on Worker Consciousness

- MMC has been one of the major beneficiaries of the neoliberal developmental model in India
- Lifestyle Culture and Consumerism: IT workers represent a fragmented and ideologically complex workforce.
- System creates sense of privilege which creates a compliance with corporate structures through “fetishization of labour productivity” (David Harvey, 2005)
- This shift in identity has important consequences.
- Unlike industrial labour, which was shaped by collective struggles, the IT workforce is shaped by **individual aspiration, competition, and career mobility**.
- Success is framed as personal achievement rather than collective bargaining. This weakens class consciousness and reduces the perceived need for unions.

Work Culture in the IT Industry

They do not experience exploitation in the same way as traditional labour

Despite relatively good salaries, workers experience intense exploitation and stress. [OBJ]

- **IT sector promotes: Hyper-productivity, Long working hours, High performance pressure, Corporate lifestyle culture**
- Workers experience: Workdays exceeding 12 hours, Pressure to constantly upgrade skills, Job insecurity and layoffs.

Intersectional Issues: Caste, Gender, and Religion: Workers' experiences are shaped by social identities.

- Women face Double Burden (office + household workload), Gender discrimination such as Glass Ceilings, Sexual Harassment, Safety and housing challenges in cities.
- Dalits and Muslims face Workplace discrimination such as difficulty exercising authority in leadership roles.

Thus exploitation in the IT sector is not just economic but also social and cultural.

New Strategies Used by IT Unions

- The absence or presence of unions has different implications for different individuals.
- For example, in general, for middle-class upper-caste men, the absence of a union often concerns their economic existence only, while for the women and Dalits, the absence of a collective or a union leaves them more vulnerable to exclusionary and exploitative processes.
- Being a part of a union provides these workers an opportunity to articulate the exploitation that they face at a social level despite being economically privileged
- Therefore, traditional union strategies (like factory strikes) do not work well in IT.
- Accordingly, these unions use social organising methods in the form of 'Structures of Solidarity to build sense of belonging and collective identities
- Such as Helping workers find housing, Building community networks, Providing emotional support, Creating social groups for migrants.

Who are the true “precariat workers” in IT sector?

- These are contractual, insecure, and often migrant workers within IT spaces such as the security guards, cleaners, cafeteria staff, delivery workers, easily replaceable, largely invisible in corporate culture, excluded from benefits and stability
- They are poorly paid, face job insecurity (temporary/contractual work) and often being migrants possess no stable social support
- **They are excluded from the “Mainstream Labour Community”** despite working in the same spaces
- Precariat workers are not seen as part of the same workforce and have **no shared identity or interaction** with IT professionals
- This creates a **fragmented labour structure**, where workers do not see each other as allies
- Overall, IT sector is divided between aspirational professionals and invisible precariat workers, making it difficult to build a unified working-class identity and therefore, collective movements like unions.

Conclusion

- IT workers are **still workers**, even if they consider themselves middle class.
- Neoliberal capitalism creates **new forms of exploitation in white-collar jobs**.
- Trade unions must **adapt their strategies** to organize IT professionals.
- Worker movements must address **class, caste, gender, and lifestyle factors**.



Criticism of Bureaucracy

Prof. Anindya Jayanta Mishra



Bureaucracy: Criticism

- Stifles creativity
- Employee dissatisfaction
- Fosters resentment
- Feeling of powerlessness
- Self estrangement
- Formalisation (written rules and procedures governing employee activities)
- Absenteeism
- Limits innovation (bureaucracy leads to a lack of motivation, thereby contributing little to innovative practices)
- Undue delay
- Redtapism
- Inefficiency
- Lost in rules
- Depersonalisation- exclusion of emotions, irrationalities, love and hatred
- Bureaucracy is not suited to treat individual cases

In the old type of rule, the ruler would be moved by sympathy, favour, grace and gratitude, but not the bureaucratic rationality

Bureaucracy: Criticism

1. **Philip Selznick-** Bureaucracies were not and could not be like machines because they consisted of human beings.
 - People will not simply imitate machines
 - There are cases of side-stepping of rules, side-stepping of the chain of commands, which consists of operation and personality.
 - Iron law of oligarchy, Robert Michels- political parties book
 - The pyramid line structure of bureaucracy places few leaders in charge of a large organisation
 - Higher concentration of power and decision-making at the apex level
 - Bureaucracy often insulates officials from public accountability

2. Parkinson's Law

Northcote Parkinson 1957. Work expands to fill the time available for its completion

Bureaucrats appear busy. They expand their activities (committees)

Motivated by two forces

- An official wants to multiply subordinates, not rivals
- Officials make work for each other

Bureaucracy: Criticism

3. The Peter Principle (1968):

Bureaucrats rise to their level of incompetence: competent employees are promoted until they reach a position where they are not suited to the skill set required. They perform poorly and therefore remain at that level. This leads to widespread inefficiencies.

Ex: Factory worker promoted to managerial post

Nepotism- favouritism

- Focus on close relationships rather than abilities
- Nepos (Latin word- nephew)
- Middle Ages- catholic popes and bishops
- Gave nephews gave positions of preference

Iron law of oligarchy: as an organisation grows becomes more complex- becomes less democratic

Reason: effective management of an organisation requires a bureaucracy where decision-making is concentrated – there can't be mass participation

A group- a delegation takes a decision

For it's impractical to involve everybody

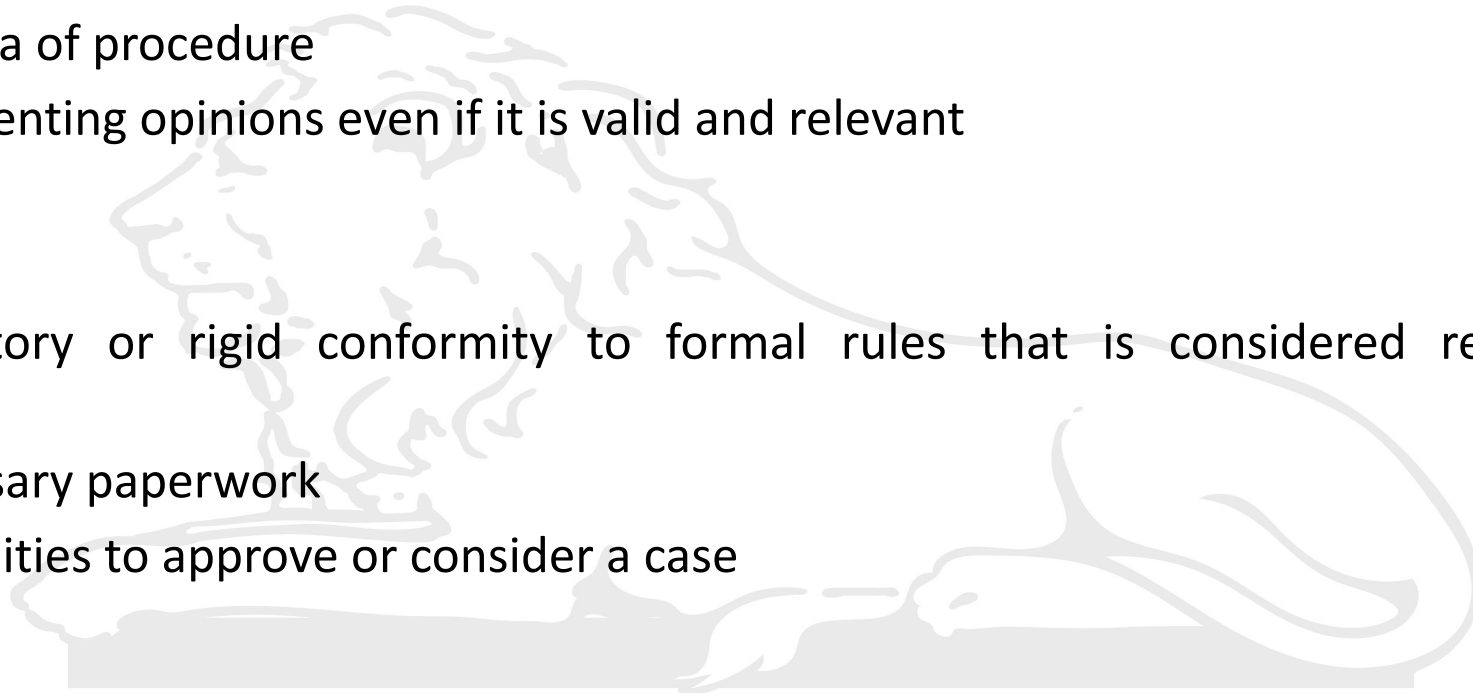
This delegation leads to specialisation (skill, knowledge, experience and resources)- further insulates the leadership

Bureaucracy: Criticism

- Weber himself says- no ideal type of bureaucracy can exist
- Officials can try to avoid responsibility and see anonymity by avoiding documentation of their procedures or creating an extreme amount of chaotic, confusing documents.
- Rigidity and inertia of procedure
- Disregard for dissenting opinions even if it is valid and relevant

Red-tapism

- Excessive regulatory or rigid conformity to formal rules that is considered redundant and delays decision-making
- Involves unnecessary paperwork
- Multiple communities to approve or consider a case



R.K Merton's Bureaucratic Ritualism

A situation in which the rules are upheld at any cost, even in cases, another solution might be better for the organisation.

- Sticking to a set of objectives, criteria,
- not being flexible, creative, not using personal judgement, adherence to rules, could eventually take precedence over the underlying original goals
- Emphasis on correct procedure- losing sight of the ultimate goal / the large picture example insurance claim gets rejected for incorrect processing of claim forms

Tom Burn & GM stalker(1996): mechanistic (rigid and hierarchical structure) and organic organisation (fluid and flexible, and participatory) which is more effective, and bureaucracy is unsuitable in such organisation and must adapt to changing, evolving internal and external environment.